

PROCUREMENT DEPARTMENT – MONTHLY REPORT

AUGUST 2026

1. PROCUREMENT ACTIVITIES

Category	Amount (TZS)
Internal Purchases	23,472,840
International Purchases	27,296,603
Customs & Clearance	8,913,636
TOTAL PURCHASES	59,685,945

2. KEY PROCUREMENT ACTIVITIES

- PPE Replenishment: Total order value USD 10,911.49. USD 5,516.42 was successfully paid, covering approximately half of the order. Balance: USD 5,395.07.
- Grey Masks: Procurement of 20,000 pcs was initiated. Payment of TZS 4,770,000 (USD 1,700) was successfully made for 10,000 pcs, while the remaining 10,000 pcs are pending payment.
- Sewing Machines: 13 complete sets with tables purchased at TZS 9,322,375. Shipment is in transit under Tracking No. LFG26B143508, expected to arrive on 24 September 2026. The machines will support customized garment orders from customers.
- Office Display: 65-inch Interactive Flat Panel and Mobile Stand purchased for office use at USD 710, Invoice No. LMF20260819-1.
- Customer Gifts: 80 customer appreciation packages procured at USD 1,168.21 (approximately TZS 3,136,643.85) to support relationships with potential customers.
- Office Display Area: Reception and PPE product display successfully completed, improving product visibility and the professional appearance of the office.

3. STOCK STATUS

- Low Stock: High Visibility Waterproof Safety Jackets and Ear Muffs.
- Grey Masks: Replenishment initiated for 20,000 pcs; 10,000 pcs paid for and 10,000 pcs pending payment.
- Out of Stock: Disposable Coveralls.

4. KEY ACHIEVEMENTS

- Continued PPE replenishment and supplier coordination.
- Initiated replenishment of Grey Masks, with payment completed for 10,000 pcs.
- Increased future production capacity through procurement of sewing machines.
- Improved office facilities through the new interactive display and completed the reception/PPE display area.
- Supported customer relationship development through procurement of 80 appreciation gift packages.

5. CHALLENGES

- Stock-outs of some fast-moving PPE products, particularly Disposable Coveralls, temporarily affected some Sales orders and required local sourcing.
- Supplier and shipment delays affected the sewing machines and customer gifts due to verification and preparation requirements.
- Pending payments for the remaining PPE and Grey Mask quantities may delay full replenishment.

6. RECOMMENDATIONS

- Maintain minimum stock levels for fast-moving products.
- Improve demand forecasting with the Sales team.
- Strengthen supplier and shipment follow-up.
- Prioritize payment for critical replenishment orders and improve working capital planning.

7. JULY VS AUGUST

Total purchases decreased from TZS 88,970,158 in July to TZS 59,685,945 in August, a decrease of approximately 32.9%. The reduction was mainly influenced by a shift toward larger and more consolidated international procurement, which reduced the need for frequent local purchases. International purchases increased from TZS 12,571,222 in July to TZS 27,296,603 in August.

8. JULY–AUGUST PROCUREMENT SUMMARY

For July and August combined, total purchases amounted to TZS 148,656,102, comprising TZS 91,634,606 in internal purchases, TZS 39,867,825 in international purchases and TZS 17,156,156 in customs and clearance costs.

9. CONCLUSION

August 2026 recorded progress in international procurement, stock planning, production capacity, office improvement and customer relationship support. Although total purchases decreased compared with July, international procurement increased significantly as the company continued moving toward consolidated orders. The focus going forward will be timely replenishment, better stock planning, supplier reliability and efficient procurement.